

City of Fillmore
Community Facilities District No. 2
(Balden Towne Plaza)
RATE AND METHOD OF APPORTIONMENT OF SPECIAL TAX

The special tax applicable to each Assessor's Parcel in the City of Fillmore ("City") Community Facilities District No. 2 (Balden Towne Plaza Public Improvements) (the "CFD"), County of Ventura ("County") California, shall be levied each Fiscal Year by the City Council or its designee, in an amount determined by the City Finance Director or his or her designee, by applying the following procedures. All of the real property located in the CFD shall, unless exempted by law or the provisions described herein, be taxed to the extent and in the manner herein provided.

DEFINITIONS

Acreage or Acres means the gross acreage of any parcel of real property in the CFD, calculated to two (2) decimal places, without any deduction for any intrusions or limitations of usage, including, but not limited to, easements, public or private rights of way, utility installments, or parking area improvements; but with deduction for any publicly owned real property or easements which make impracticable the commercial use of the property. The Acreage of each Parcel shall be as determined by the City Engineer (or designee thereof) (the "Director"). The Director may rely upon a certification or certifications of one or more licensed civil engineers (or such other documentation as the Director deems appropriate in the circumstances) in making the determination as to the Acreage of any specific Parcel.

Administrative Expenses means any and all reasonable costs of the City incurred in connection with the establishment or administration of the CFD including, but not limited to, Fiscal Agent fees and expenses, costs of calculation, levy and collection of the Special Tax, arbitrage rebate calculation expenses and any rebatable amount, and an allocable portion of City staff expense and administrative overhead related to the CFD.

Annual Building Tax Rate is equal to the Annual Tax on Buildings divided by the Total Building Floor Area.

Annual Special Tax is the total dollar amount required to meet the obligations of the CFD in a Fiscal Year, determined under the Calculation of Annual Special Tax section below.

Annual Land Tax Rate is equal to the lesser of the Annual Tax On Land divided by the total of all Acres in the CFD, or the Maximum Land Tax Per Acre.

Annual Parcel Special Tax for any Parcel is equal to the Annual Building Tax Rate multiplied times the sum of Floor Area Of Building for all buildings on such Parcel, plus the Annual Land Tax Rate multiplied times the Acreage of such Parcel.

Annual Tax on Buildings is the lesser of i) 87 percent of the Annual Special Tax or ii) the Maximum Building Tax Per Square Foot multiplied times the Total Building Floor Area.

Annual Tax On Land is equal to the Annual Special Tax minus the Annual Tax On Buildings.

Bonds means any bonds (including any refunding bonds) issued by the City under the Fiscal Agent Agreement, the principal of and premium, if any, and interest on which are payable from or secured by a pledge of the Special Taxes.

CFD Boundary Map means the map showing the external geographic boundaries of the CFD as approved by the City Council of the City, acting as the legislative body of the CFD, and as amended from time to time.

Contributions means tax increment revenues paid by the Fillmore Redevelopment Agency to the City under a Reimbursement Agreement for public improvements within the Central City Redevelopment Project relating to the Bonds by and between the Agency and the City, which tax revenues have been remitted to the Fiscal Agent during the Fiscal Year prior to the Fiscal Year for which the Annual Special Tax is being calculated.

Fiscal Agent Agreement means any and all agreements (and any supplements thereto) between the City and a fiscal agent or agents, providing the terms of the Bonds, including the principal and interest payable on the Bonds.

Fiscal Year means the period starting on July 1 and ending on the following June 30.

Floor Area Of Building is the area included within the surrounding exterior walls of a building or portion thereof, exclusive of i) vent shafts, ii) courts, and iii) non-retail uses in buildings of more than 10,000 square feet which buildings are used for retail purposes (e.g., mezzanine floors in such retail buildings), all as shown on or determined by reference to City building permits. The floor area of a building, or portion thereof, not provided with surrounding exterior walls is the usable area under the horizontal projection of the roof or floor above and includes each floor of multi-story buildings, with the exception of any non-retail use (such as use of a mezzanine floor) in a building of more than 10,000 square feet which building is used for retail purposes. For purposes of this definition, "court" is a space, open and unobstructed to the sky, located at or above grade level on a lot and bounded on three or more sides by walls of a building. Floor Area of Building shall be determined by the City Engineer (or his or her designee) by reference to City-approved building plans or such other documentation as the City Engineer shall determine. The Floor Area of Building of all buildings in the CFD is determined on or about May 1 of each year.

Maximum Building Tax Per Square Foot is \$0.60 per building square foot per year, through Fiscal Year 1995-1996; and for each Fiscal Year thereafter the Maximum Building Tax

Per Square Foot shall be 102% of the applicable Maximum Building Tax Per Square Foot for the prior Fiscal Year.

Maximum Land Tax Per Acre is \$8,773 per Acre per year, through Fiscal Year 1995-96; and for each Fiscal Year thereafter the Maximum Land Tax Per Acre shall be 102% of the applicable Maximum Land Tax Per Acre for the prior Fiscal Year.

Parcel or "parcel of real property" means, except where the context otherwise requires, a parcel of real property as described in the applicable assessor's parcel map then in existence and used by the Ventura County Assessor's Office.

Total Building Floor Area is the sum of the Floor Area Of Building for all buildings in the CFD.

CALCULATION OF ANNUAL SPECIAL TAX

The City Finance Director (or his or her designee or agent) shall determine the Annual Special Tax to be levied in the CFD during each Fiscal Year, in accordance with the following steps. County Assessor's information and City building permit information collected up and until May 1 of the Fiscal Year shall be used to determine the Annual Special Tax for the next Fiscal Year.

- Step 1:** Determine the sum of scheduled debt service, including principal, interest and sinking fund payments if any, on the Bonds for the calendar year commencing in such Fiscal Year (the "Debt Service").
- Step 2:** Subtract an amount equal to the sum of (i) capitalized interest available to pay such Debt Service, and (ii) the earnings for such Fiscal Year on any fund established under the Fiscal Agent Agreement, the earnings on which must be used to pay Debt Service, based upon the then-current amount of such earnings on deposit therein, (iii) any amounts of Contributions held under the Fiscal Agent Agreement as of the beginning of such Fiscal Year and available for credit against the Annual Special Tax as specified therein, and (iv) any other monies held in the special tax fund for the Bonds available for payment of Debt Service.
- Step 3:** Add the estimated cost of Administrative Expenses for the CFD for such Fiscal Year.
- Step 4:** Add an amount equal to the delinquency in the collection of Special Taxes levied in the prior Fiscal Year, subject to applicable law, and any amount required to provide for corrections that were determined to be applicable during the Appeals and Interpretation Procedure in Section VI.
- Step 5:** The sum of Step 1 through Step 4 yields the Annual Special Tax for the Fiscal Year.

APPORTIONMENT OF THE ANNUAL SPECIAL TAX

The Annual Special Tax determined per the Calculation of Annual Special Tax section shall be apportioned annually to the Parcels within the CFD as follows:

- Step 1:** Calculate the Total Building Floor Area.
- Step 2:** Calculate the Annual Tax On Buildings by determining the lessor of i) 87% of the Annual Special Tax or ii) the Total Building Floor Area multiplied by the Maximum Building Tax Per Square Foot.
- Step 3:** Apply the Annual Building Tax Rate to each Parcel in the CFD.
- Step 4:** Calculate the Annual Tax on Land by subtracting the result of Step 2 from the Annual Special Tax determined in the Calculation of Annual Special Tax section.
- Step 5:** Calculate the Annual Land Tax Rate for each Parcel by determining the lesser of i) the Maximum Land Tax Per Acre, or ii) the amount calculated by dividing the Annual Tax On Land by the Acreage of the CFD.
- Step 6:** Calculate the Annual Parcel Special Tax for each Parcel. The result will be the sum of Steps 3 and 5.

PREPAYMENT OF THE SPECIAL TAX

The lien of the Special Tax on any Parcel of real property shall be released upon payment of the Prepayment Amount, as defined below, and the resulting redemption of a portion of the Bonds. Prepayments may be made on any date after which all of the Bonds have been issued. Only prepayments resulting in a release of the Special Tax lien with respect to a Parcel shall be allowed. Partial prepayments to reduce, but not eliminate, the Special Tax lien shall not be permitted.

The Prepayment Amount for any Parcel required in order to remove the lien of the Special Tax shall be the greater of the results of the following two formulae:

Formula 1:

- Step 1:** Divide the sum of Floor Area Of Building for all Parcels to be prepaid by Total Building Floor Area of all Parcels in the CFD.
- Step 2:** Multiply the result of Step 1 by the outstanding principal of the Bonds. Round this amount up to the nearest multiple of \$5,000.

- Step 3:** Multiply the result of Step 2 by the premium, if any, due on the Bonds on the next date for which notice of redemption can be given, determined by reference to the Fiscal Agent Agreement.
- Step 4:** Add the amount of interest that will accrue on the principal amount of Bonds to be redeemed (such principal amount being the result of Step 2) from the last interest payment date for the Bonds prior to such prepayment to the next available date of redemption of the Bonds, determined by reference to the Fiscal Agent Agreement.
- Step 5:** Add to the result of Step 4, the total amount of all delinquent and current Special Tax levies levied on the Parcels to be prepaid, but not yet collected.
- Step 6:** Add to the result of Step 5 the estimated cost of City staff and consultant fees and expenses, and Fiscal Agent fees and expenses required to effectuate the prepayment of the Special Tax and the resulting redemption of Bonds.
- Step 7:** Multiply the quotient derived in Step 1 by the Reserve Requirement, as defined in the Fiscal Agent Agreement. Subtract this amount from the result of Step 6.

Formula 2:

- Step 1:** Divide Acreage for all Parcels to be prepaid by total Acreage of the Parcels within the CFD.
- Step 2:** Multiply the result of Step 1 by the outstanding principal of the Bonds. Round this amount up to the nearest multiple of \$5,000.
- Step 3:** Multiply the result of Step 2 by the premium, if any, due on the Bonds on the next date for which notice of redemption can be given, determined by reference to the Fiscal Agent Agreement.
- Step 4:** Add the amount of interest that will accrue on the principal amount of Bonds to be redeemed (such principal amount being the result of Step 2) from the last interest payment date for the Bonds prior to such prepayment to the next available date of redemption of the Bonds, determined by reference to the Fiscal Agent Agreement.
- Step 5:** Add to the result of Step 4, the total amount of all delinquent and current Special Tax levies levied on the Parcels to be prepaid, but not yet collected.
- Step 6:** Add to the result of Step 5 the estimated cost of City staff and consultant fees and expenses, and Fiscal Agent fees and expenses required to effectuate the prepayment of the Special Tax and the resulting redemption of Bonds.
- Step 7:** Multiply the quotient derived in Step 1 by the Reserve Requirement, as defined in the Fiscal Agent Agreement. Subtract this amount from the result of Step 6.

APPEALS AND INTERPRETATION PROCEDURE

Any property owner who feels that the portion of the Special Tax levied on their property is in error may file an appeal no later than March 1 of the Fiscal Year in which the levy occurred, with the City Finance Director, or his/her designee, appealing the levy of the Special Tax on his or her property. The Finance Director, or his or her designee, will promptly review the appeal, and if necessary, meet with the applicant, and decide the merits of the appeal. If the findings of the Finance Director or his/her designee verify that the Special Tax levied should be modified, the Special Tax levy for future Fiscal Years shall be corrected and a credit against future Special Taxes shall be arranged, if applicable. Any over charges shall be corrected solely by means of adjustments to future Special Tax levies; no cash refunds shall be made. The decision of the Finance Director or his/her designee shall be final.

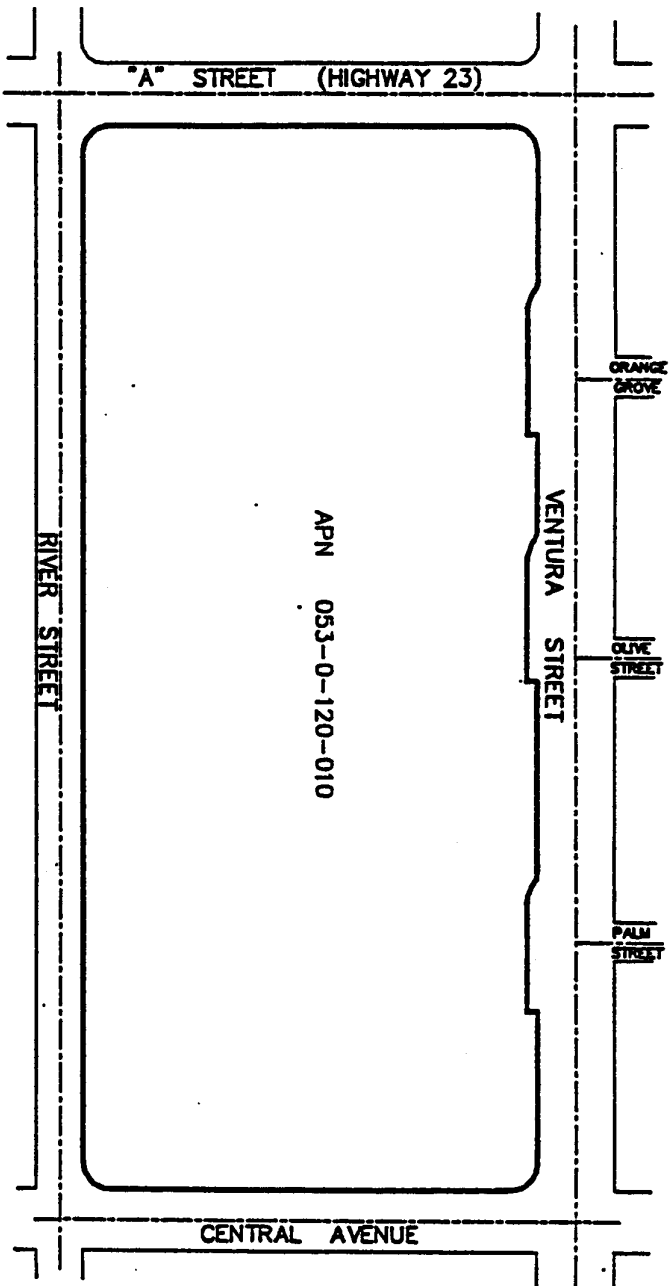
The City Council may, by resolution, clarify any vagueness or uncertainty as it relates to the Special Tax rate, the method of apportionment, or any definition(s) applicable to the Rate and Method of Apportionment of the Special Taxes.

EXEMPT ACREAGE

Notwithstanding any other provision of this Rate and Method of Apportionment of Special Taxes, the following area within the CFD (the "UNOCAL Parcel") shall not be apportioned any of the Annual Special Tax and shall be wholly exempt from the levy of special taxes. The Acreage of the UNOCAL Parcel shall not be included within the Acres of the CFD for purposes of computing the Annual Land Tax Rate, and any buildings on the UNOCAL Parcel shall not be included within the Floor Area of Building for purposes of computing the Total Building Floor Area. It is hereby acknowledged that the UNOCAL Parcel will be removed from the boundaries of the CFD following the recordation of a parcel map in the Ventura County Assessor's Office which designates the UNOCAL Parcel as a separate Parcel. The legal description of the UNOCAL Parcel is as follows:

"Part of Lot 18 of the Fillmore Subdivision of the Sespe Rancho, in the City of Fillmore, County of Ventura, State of California, as per map thereof recorded in the Office of the County Recorder of said county in Book 3, Page 5 of maps, further described as follows:

Beginning at the intersection of the Easterly line of "A" Street (60 feet wide) and the Southerly line of Ventura Street (60 feet wide) as shown on said map; thence Easterly along the Southerly line of Ventura Street 10.00 feet; thence Southerly along a line parallel with the Easterly line of "A" Street 40.00 feet to the true points of beginning, said true point of beginning is the intersection of the Southerly line of Ventura Street (now 100 feet wide) and the Easterly line of "A" Street (now 70 feet wide) as described in the Grant Deed to the State of California recorded on April 17, 1937 in Book 522, Pages 43 and 44 of records of said county; thence along the last mentioned Southerly line of Ventura Street (100 feet wide) a distance of 125.00 feet; thence Southerly at right angles to Ventura Street, 125.00 feet; thence Westerly at right angles 125.00 feet to the East line of "A" Street (70 feet wide); thence Northerly along the Easterly line of "A" Street (70 feet wide) to the true point of beginning."



Filed in the Office of the City Clerk of the City of Fillmore this ____ day of ____ 1993
 City Clerk
 City of Fillmore

I hereby certify that the within map showing proposed boundaries of City of Fillmore Community Facilities District No. 2 (Balden Towne Plaza Public Improvements), City of Fillmore, County of Ventura, State of California, was approved by the City Council of the City of Fillmore at a regular meeting thereof, held on the ____ day of ____ 1993, by its Resolution No. ____.

City Clerk
 City of Fillmore

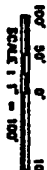
Filed this ____ day of ____ 1993, at the hour of ____ o'clock ____ M., in Book ____ of maps of Assessment and Community Facilities Districts in the Office of the County Recorder in the County of Ventura, State of California.

County Recorder
 County of Ventura
 State of California

MFS
 Map Financial Services, Inc.
 28755 S. Orange Ave.
 Torrance, California 90505
 Phone (310) 609-3890 FAX (310) 609-3440
 (35-0027) FEBRUARY 1993

PROPOSED BOUNDARY MAP OF CITY OF FILLMORE COMMUNITY FACILITIES DISTRICT NO. 2 (BALDEN TOWNE PLAZA PUBLIC IMPROVEMENTS)

CITY OF FILLMORE
 COUNTY OF VENTURA
 STATE OF CALIFORNIA



LEGEND
 _____ PROPOSED DISTRICT BOUNDARY

**City of Fillmore
Community Facilities District No. 2
(Balden Towne Plaza)
SPECIAL TAX RATES**

SPECIAL TAX SPREAD

For the FY 2004/05, 14 parcels are within the boundaries of CFD 2, and all 14 are subject to the Special Tax. Five of the fourteen parcels are taxed at the building rate in addition to the land rate. The number of parcels and effective tax rates for each of the applicable taxing categories are shown below.

SPECIAL TAX CLASSIFICATION	PARCELS	APPLIED SPECIAL TAX RATE	TAXABLE SQ FT / ACRES	DOLLARS LEVIED
Buildings/ Sq Ft	5	\$0.7171	98,045	\$70,308.07
Land/ Acres	14	\$1,094.24	17.958	19,650.29
Totals		N/A	N/A	\$89,958.36

*Slight variances may occur due to rounding.

MAXIMUM AND APPLIED SPECIAL TAX RATES

SPECIAL TAX CLASSIFICATION	MAXIMUM SPECIAL TAX RATE	APPLIED SPECIAL TAX RATE	PERCENT OF MAXIMUM
Buildings / Sq Ft	\$0.7171	\$0.7171	100.00%
Land / Acre	\$10,484.61	\$1,094.24	10.44%